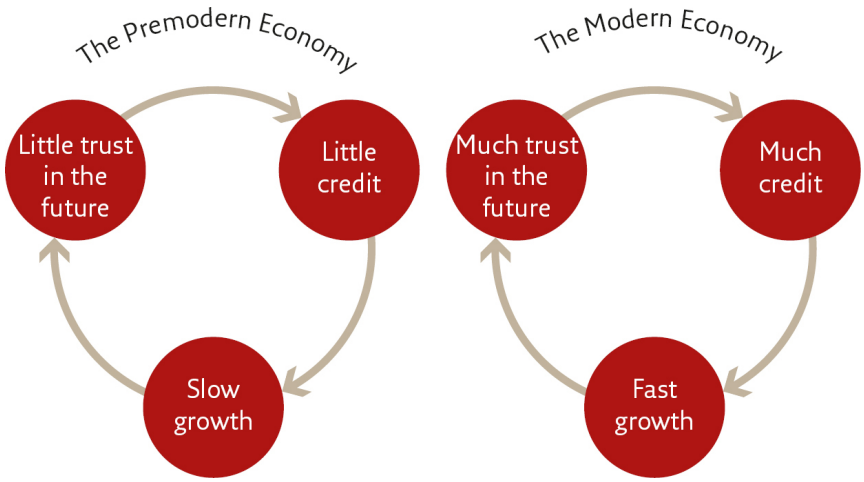
Over the last 500 years the idea of progress convinced people to put more and more trust in the future. This trust created credit; credit brought real economic growth; and growth strengthened the trust in the future and opened the way for even more credit. It didn't happen overnight – the economy behaved more like a roller coaster than a balloon. But over the long run, with the bumps evened out, the general direction was unmistakable. Today, there is so much credit in the world that governments, business corporations and private individuals easily obtain *large, long-term and low-interest loans* that far exceed current income.



The Economic History of the World in a Nutshell

The belief in the growing global pie eventually turned revolutionary. In 1776 the Scottish economist Adam Smith published *The Wealth of Nations*, probably the most important economics manifesto of all time. In the eighth chapter of its first volume, Smith made the following novel argument: when a landlord, a weaver, or a shoemaker has greater profits than he needs to maintain his own family, he uses the surplus to employ more assistants, in order to further increase his profits. The more profits he has, the more assistants he can employ. It follows that an increase in the profits of private entrepreneurs is the basis for the increase in collective wealth and prosperity.

This may not strike you as very original, because we all live in a capitalist world that takes Smith's argument for granted. We hear variations on this theme every day in the news. Yet Smith's claim that the selfish human urge to increase private profits is the basis for collective wealth is